PORTFOLIO CONSTRUCTION

Inverse-Volatility Weighting with a Speculative Micro-Cap Sleeve

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Research period: 2 February 2023 to 6 November 2026

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Headline result

The portfolio produced a full-period Sharpe ratio of 1.224 versus 0.920 for VOO and a positive HAC-adjusted alpha. However, performance is positively skewed and materially influenced by the speculative TIPS equity position.

Executive Summary

Metric	Joe's Portfolio	VOO	Interpretation
Annualized excess return	20.15%	13.47%	Portfolio earned 6.68 percentage points more per year
Sharpe ratio	1.224	0.920	Higher historical excess return per unit of volatility
VOO beta	1.007	1.000	Market sensitivity was approximately equal to VOO
Daily alpha	≈0.03%	—	Positive estimate; exact annualization requires the unrounded coefficient
Alpha p-value	0.031	—	Statistically significant at 5%, but economically fragile

The strategy uses trailing 20-day inverse-volatility weights and applies a one-day signal lag. It therefore reduces exposure to recently volatile assets and increases exposure to recently stable assets. The portfolio is equity-heavy rather than a conventional multi-asset portfolio.

- 2023: the portfolio underperformed VOO because concentrated U.S. large-cap leadership was stronger than the diversified allocation.
- 2024: the portfolio approximately matched VOO on a risk-adjusted basis.
- 2025 and 2026: the portfolio materially outperformed VOO, with TIPS contributing the most annualized return in both periods.
- Key caution: TIPS is Tianrong Internet Products and Services, Inc., an OTC speculative equity. It is not Treasury Inflation-Protected Securities.

1. Investment Objective and Design

The objective is to evaluate whether a dynamically weighted equity portfolio can generate higher risk-adjusted returns than a passive investment in VOO. The portfolio combines broad U.S. exposure, growth exposure, small-cap exposure, developed international exposure, and a speculative micro-cap sleeve.

Ticker	Exposure	Role	Primary risk
QQQ	Nasdaq-100 growth equities	Growth and technology tilt	Concentration and valuation risk
VOO	S&P 500 large-cap equities	Core U.S. market exposure	Broad U.S. equity drawdowns
IWM	Russell 2000 small caps	Size diversification	Credit, funding and economic sensitivity
EFA	Developed markets ex U.S./Canada	Geographic diversification	Currency and regional-market risk
TIPS	Tianrong Internet Products and Services, Inc.	Speculative tail-return sleeve	OTC liquidity, extreme volatility and execution risk

The portfolio should therefore be interpreted as a growth-oriented global equity strategy with a speculative micro-cap component, not as a balanced stock-bond portfolio.

2. Methodology

2.1 Inverse-volatility weighting

$$w_{i,t} = \frac{1/\sigma_{i,t}}{\sum_{j=1}^{N} 1/\sigma_{j,t}}$$

where $\sigma_{i,t}$ is the annualized standard deviation of the asset's previous 20 daily returns. Lower-volatility assets receive larger weights.

Portfolio return uses lagged weights:

$$R_{p,t} = \sum_{i=1}^{N} w_{i,t-1} R_{i,t}$$

- The one-day lag avoids look-ahead bias.
- Weights are normalized to 100% each day.
- The method uses individual volatilities but not the covariance matrix, so it is not full equal-risk-contribution risk parity.
- Daily rebalancing is assumed. Transaction costs, bid-ask spreads, market impact and partial fills are not deducted.

2.2 Performance measures

Annualized excess return equals the mean daily portfolio return minus the daily 13-week Treasury-bill proxy, multiplied by 252. Annualized volatility equals daily return standard deviation multiplied by $\sqrt{252}$. The Sharpe ratio is annualized excess return divided by annualized volatility.

3. Diversification and Correlation

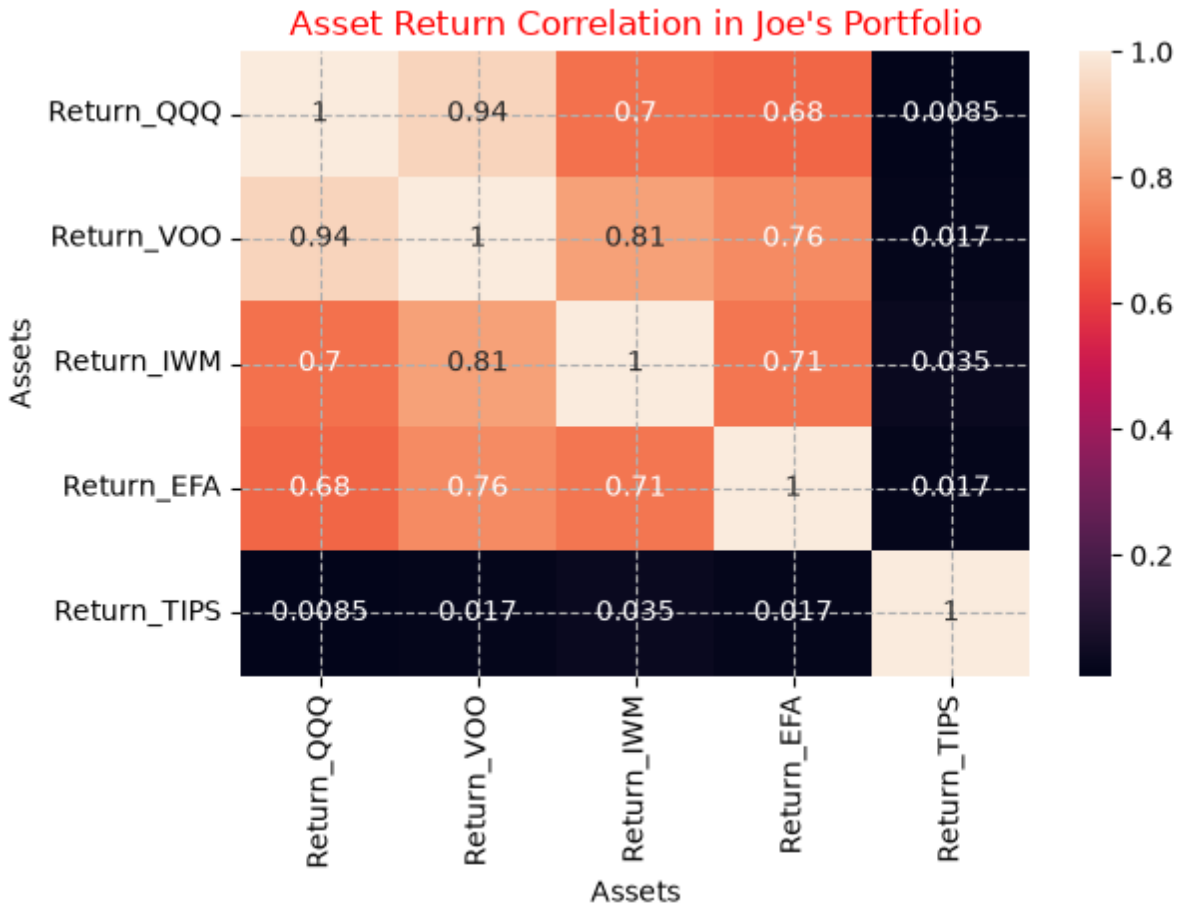


Figure 1. Daily return correlations, 2 February 2023 to 6 November 2026.

The four conventional equity exposures are highly correlated, ranging from approximately 0.68 to 0.94. QQQ and VOO are especially similar at 0.94. TIPS has near-zero correlation with the other assets, but this apparent diversification is driven by a fundamentally different, extremely illiquid return process. Low correlation alone does not establish investability or robustness.

4. Annual Return Contribution

Daily asset contribution is calculated as the prior-day weight multiplied by the current-day asset return. The charts below annualize the arithmetic mean of daily contributions. These contributions explain average portfolio return, but they are not an exact compounded wealth attribution.

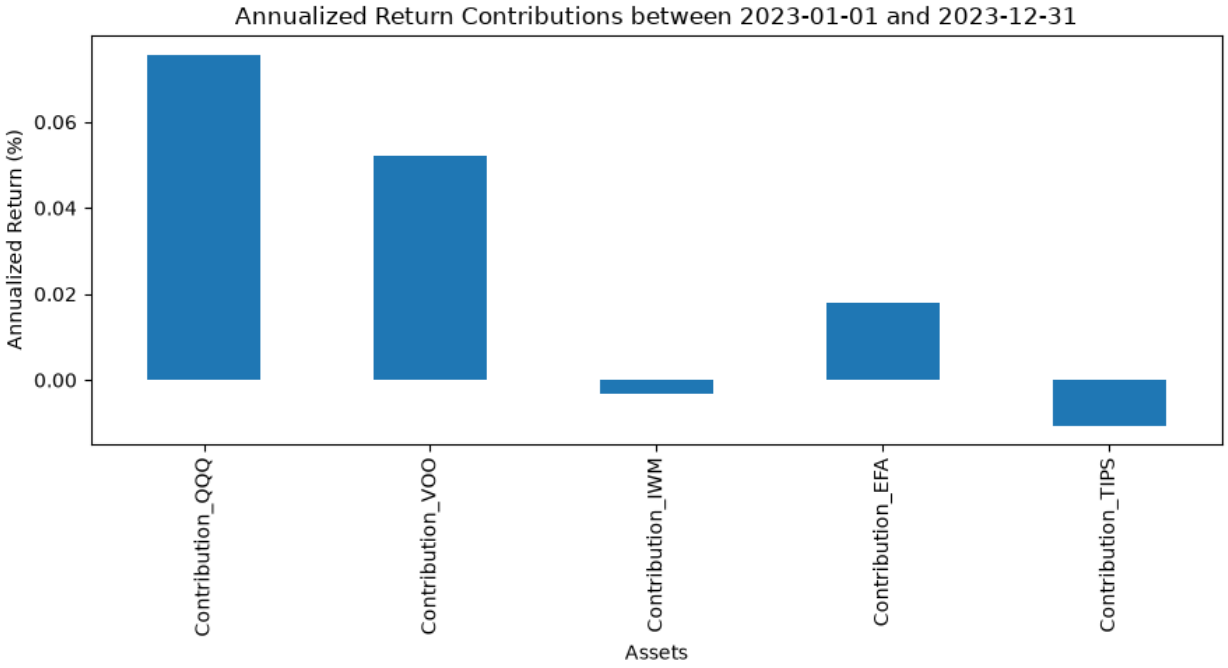


Figure 2. Annualized arithmetic return contribution, 2023.

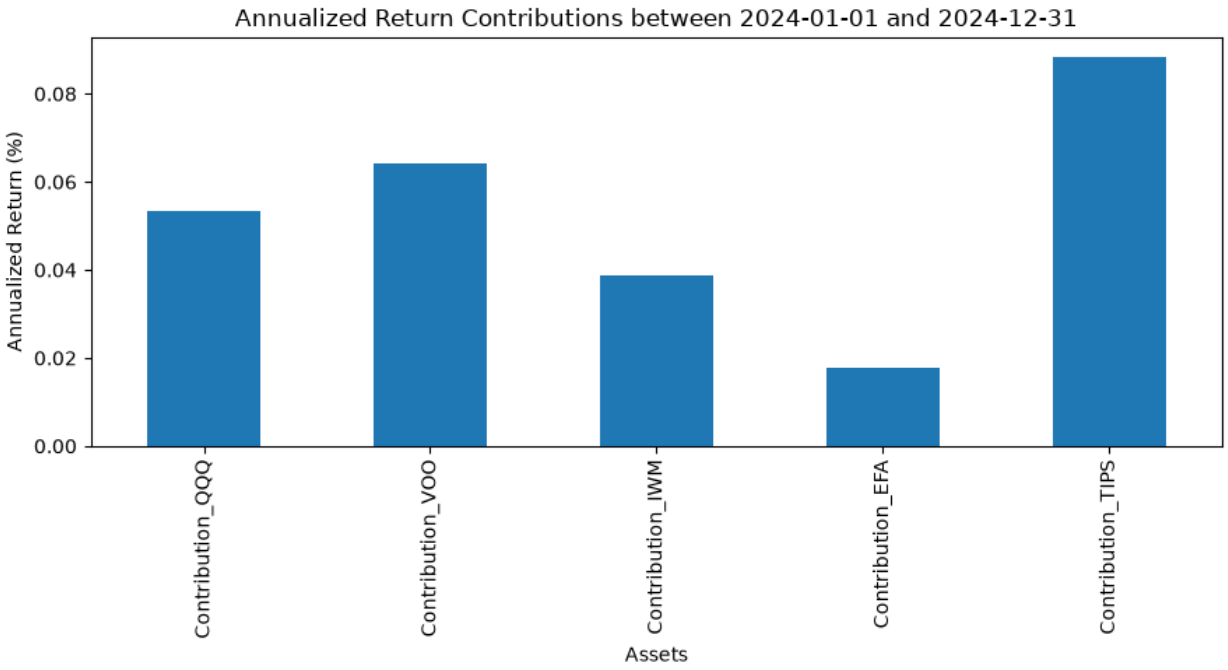


Figure 3. Annualized arithmetic return contribution, 2024.

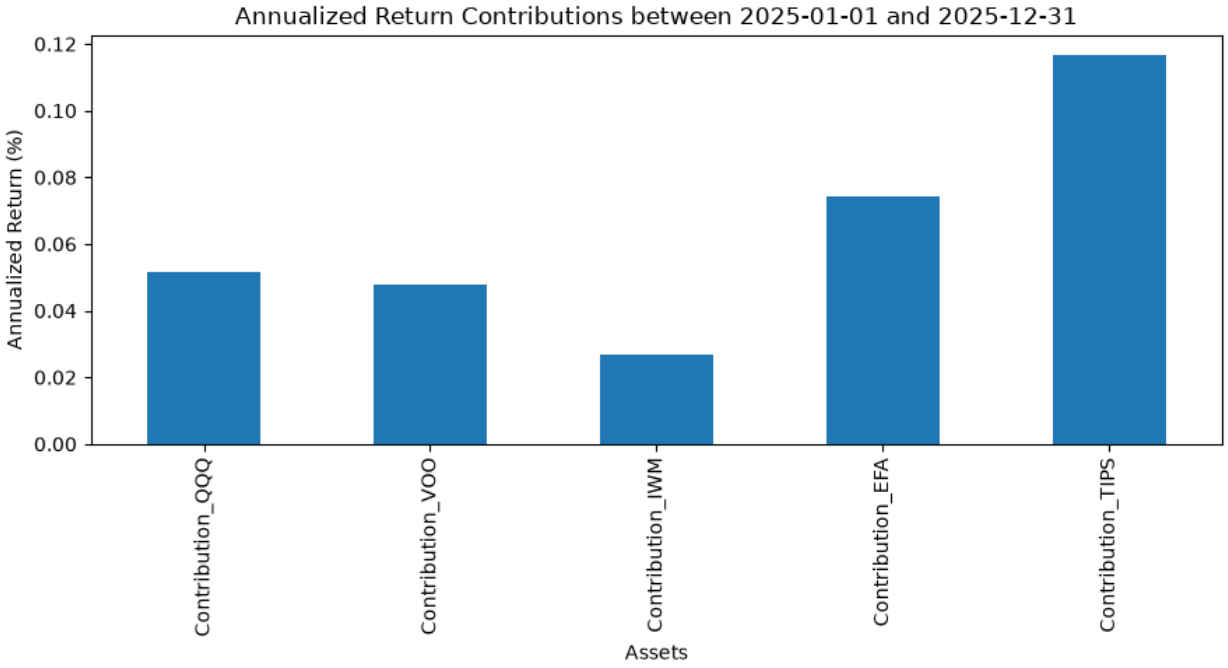


Figure 4. Annualized arithmetic return contribution, 2025.

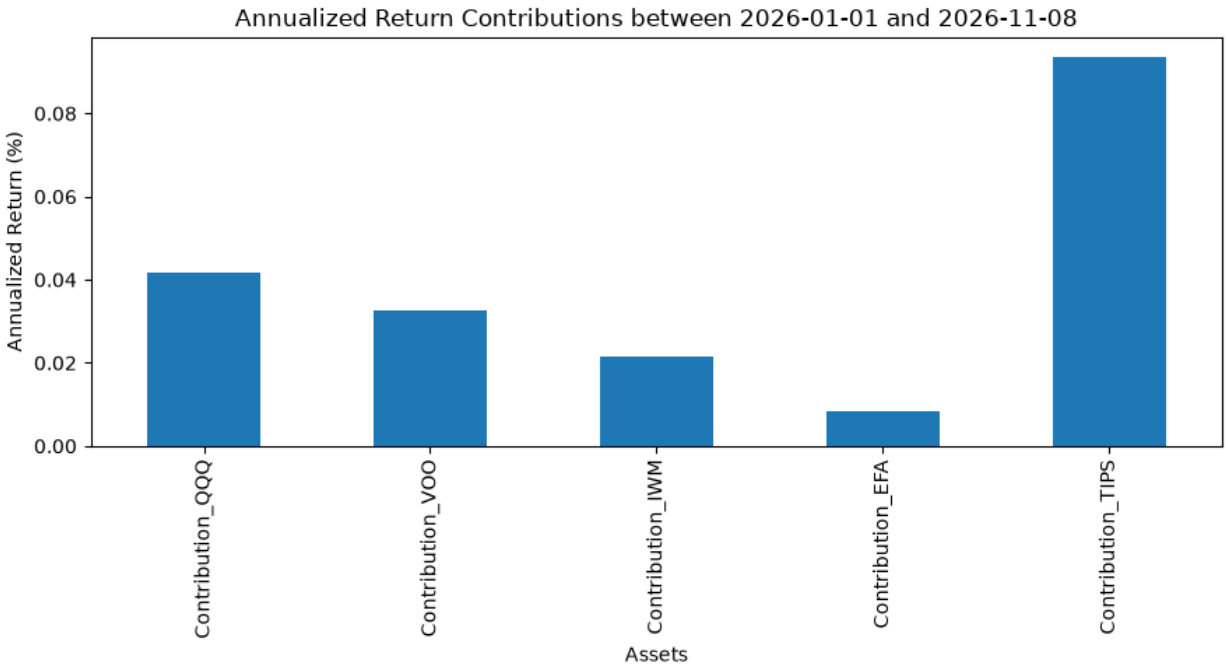


Figure 5. Annualized arithmetic return contribution, 2026 to 6 November.

TIPS was the largest contributor in 2024, 2025 and 2026 despite usually receiving the smallest weight. This occurs because percentage changes can be very large when an OTC penny stock moves from one very small quoted price to another. A small position can therefore have a material portfolio effect.

5. Performance by Test Period

Period	Portfolio Sharpe	VOO Sharpe	Portfolio excess return	VOO excess return	Assessment

2023-02-02 to 2023-12-29	0.638	1.066	9.54%	13.51%	Underperformed
2024-02-01 to 2024-12-30	1.495	1.491	22.44%	19.01%	Approximately matched
2025-02-04 to 2025-12-30	1.459	0.763	28.67%	14.46%	Strong outperformance
2026-02-03 to 2026-11-06	0.886	0.397	15.26%	5.61%	Outperformed
Full period	1.224	0.920	20.15%	13.47%	Outperformed overall

Economic interpretation

In 2023, VOO benefited from concentrated U.S. mega-cap leadership. The inverse-volatility rule allocated part of the portfolio to small-cap, international and speculative exposures, producing lower return and higher volatility than VOO. In 2024, higher portfolio return was largely offset by higher risk, leaving almost no Sharpe advantage. In 2025 and 2026, non-VOO holdings generated enough additional return to compensate for higher volatility, while TIPS provided the largest annualized contribution.

6. Benchmark Regression and Alpha

The HAC-robust benchmark regression is:

$$R_{p,t} - R_{f,t} = 0.0003 + 1.0071\left(R_{\text{VOO},t} - R_{f,t}\right) + \varepsilon_t$$

Statistic	Estimate	Interpretation
Alpha (daily)	≈0.0003	Positive abnormal return estimate
Alpha z-statistic	2.163	2.163 robust standard errors above zero
Alpha p-value	0.031	Reject α = 0 at the 5% level
VOO beta	1.0071	Market sensitivity approximately equal to VOO
R-squared	0.802	VOO explains 80.2% of daily portfolio variation
Observations	944	Approximately 3.75 trading years

The estimated alpha is statistically significant at 5%. However, statistical significance does not establish repeatability. Residuals are strongly non-normal, with skewness of 1.903 and kurtosis of 18.075, consistent with extreme positive tail events. The alpha should therefore be reported together with robustness tests that isolate TIPS-driven days.

7. Limitations

Issue	Why it matters	Recommended treatment

TIPS tail dependence	A few large percentage jumps can materially lift return and Sharpe	Report results with and without TIPS; remove top 5, 10 and 15 contribution days
OTC execution	Quoted closes may not be available for meaningful trade size	Apply bid-ask spread, slippage and volume filters
Daily turnover	Weights change daily with the 20-day volatility window	Report turnover and test weekly or monthly rebalancing
Period selection	Changing dates after seeing results creates selection bias	Pre-specify non-overlapping test periods and preserve an untouched holdout
Factor concentration	QQQ, VOO and IWM remain exposed to U.S. equity risk	Add factor regression and maximum drawdown analysis
Arithmetic annualization	Extreme daily returns can inflate mean-based annualization	Report CAGR, cumulative return and geometric attribution alongside arithmetic contributions

8. Suitable Investor Profile

This portfolio is most suitable for **experienced, growth-oriented investors** with a high tolerance for volatility, a long-term investment horizon of at least five years, and no immediate liquidity needs. Investors must be comfortable with substantial equity-market exposure, dynamic portfolio weights, and a small speculative OTC equity position. It is unsuitable for conservative, income-dependent, or capital-preservation investors.

9. Overall Assessment

The portfolio **achieved stronger full-period historical performance than VOO**, with a Sharpe ratio of 1.224 versus 0.920 and a positive HAC-adjusted alpha. The strategy also demonstrated that **inverse-volatility weights** can adapt to changing risk conditions without using contemporaneous returns.

The evidence is nevertheless mixed across periods. The portfolio underperformed VOO in 2023, approximately matched it in 2024, and outperformed materially in 2025 and 2026. The later advantage coincided with substantial TIPS contributions. Consequently, the strategy combines a conventional equity core with a speculative, positively skewed sleeve rather than delivering universally superior risk control.

Final conclusion: Historical outperformance is genuine within the downloaded price data, but its quality and repeatability depend on whether the TIPS contribution survives liquidity constraints, transaction costs, contribution-day stress tests and an untouched out-of-sample period.